GENERAL ECONOMICS

GEN-ECON-23

Time: 5 minutes

Outcome: Interpret International Trade: World Prices.

Difficulty: Beginner

International Trade: World Prices

THE CORE IDEA

A world price lets a small country trade at a price determined outside its domestic market. When the world price is below the domestic no-trade equilibrium price, domestic buyers demand more than domestic firms supply and the country imports the difference. When the world price is above the no-trade price, domestic firms supply more than buyers demand and the country exports the difference. Trade changes domestic production, consumption, and the distribution of surplus.

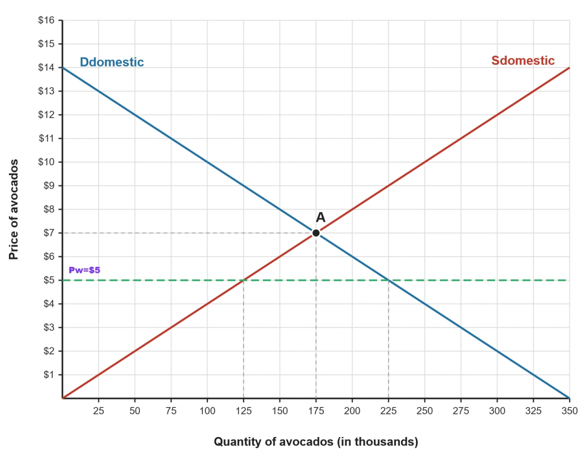
HOW TO RECOGNIZE IT

- Compare the world price with the domestic no-trade equilibrium price.
- A world price below the no-trade price makes the country an importer.
- A world price above the no-trade price makes the country an exporter.
- At the world price, imports equal domestic quantity demanded minus quantity supplied; exports use the reverse difference.

WATCH OUT

Do not use high demand instead of world price comparison. A lower world price creates excess domestic demand that is filled by imports.

WORKED EXAMPLE: READING WORLD-PRICE TRADE



The domestic no-trade equilibrium price is $7. When the country opens to free trade at a world price of $5, domestic buyers demand more than domestic firms supply, and imports fill the difference. Because the world price is below the no-trade price, the country is an importer of this good.

CHECK YOURSELF

A student says abundant domestic supply automatically makes a country an exporter. What is missing?

READY? Return to the game and master this concept.